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AI



# Nvidia's resumption of H20 chip sales related to rare-earth element trade talks

Rare-earth elements appear to be behind Nvidia's stance on China.

After announcing in June plans to essentially [withdraw from the Chinese market](#), the semiconductor chip and AI giant reversed course and said it was filing an application to [restart sales of its H20 AI chip to China](#).

U.S. Commerce Secretary Howard Lutnick said Tuesday that Nvidia's plans to start selling its H20 AI chips are tied to ongoing trade discussions with China regarding rare-earth elements, [according to reporting from Reuters](#). [AMD plans to restart sales of its MI308 AI chip](#) in China too.

Rare-earth elements (REE) like lanthanum and cerium, which are largely mined in China, are necessary components in technology, including rechargeable batteries for electric vehicles. These REEs have become a critical point in the current trade debates between the U.S. and China.

Not everyone is happy with this trade development though.

The decision “would not only hand our foreign adversaries our most advanced technologies, but is also dangerously inconsistent with this administration’s previously-stated position on export controls for China,” Congressman Raja

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Krishnamoorthi said in a statement, according to Reuters.

But Lutnick isn't concerned and told CNBC on Tuesday that China is only getting [Nvidia's "fourth best" chip](#).

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"We don't sell them our best stuff, not our second best stuff, not even our third best," Lutnick said in the interview.

This news comes less than a week after it was rumored that Nvidia would be [designing and releasing a new AI chip specifically for the Chinese market](#) to resume business in the country without violating U.S. chip export rules.

The U.S. is still trying to figure out what its AI chip export rules are going to look like. The Trump administration [formally rescinded the Biden administration's AI Diffusion Rule](#) in May and there hasn't been a formal update since.

The Trump administration was [rumored to be considering further restrictions on AI chip exports to countries like Thailand and Malaysia](#), to prevent smuggling, Bloomberg reported last week. Malaysia [implemented trade permits on U.S.-made AI chips](#) on Monday.

TechCrunch reached out to Nvidia for comment.

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# Nvidia drops \$600B off its market cap amid the rise of DeepSeek

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fewer resources and less compute power, seems like a win for the overall AI industry. But it isn't necessarily good news for everyone.

Semiconductor giant Nvidia finds itself in the headwinds of DeepSeek's recent achievement. The chip giant saw its stock plummet 16.9% from the close of Friday's public markets to the close of public markets on Monday, according to [Yahoo Finance data](#). Nvidia lost nearly \$600 billion off of its market cap. Nvidia's stock closed at \$142.62 a share on Friday afternoon. On Monday, it closed at \$118.58.

There is speculation that the reason why DeepSeek's model release would impact Nvidia's stock is that R1 provides a clear example that AI models don't necessarily need expensive, high-end chips or hardware to build an impressive model, which isn't exactly great news for a chipmaker like Nvidia.

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“DeepSeek is an excellent AI advancement and a perfect example of Test Time Scaling,” an Nvidia spokesperson told TechCrunch over email. “DeepSeek’s work illustrates how new models can be created using that technique, leveraging widely-available models and compute that is fully export control compliant. Inference requires significant numbers of Nvidia GPUs and high-performance networking. We now have three scaling laws: pre-training and post-training, which continue, and new test-time scaling.”

The timing of all of this is interesting because this comes one week after former president Joe Biden [signed an executive order](#) that made further restrictions on the export of U.S.-produced advanced AI chips to certain countries, with near-blanket restrictions on sending chips to countries like China, where DeepSeek is based.

At the time, Nvidia said that the executive order was “unprecedented and misguided” and that it would “derail” innovation and economic growth worldwide.

President Donald Trump has since [reversed Biden’s executive order](#) and has signed a different executive order to create the [Stargate Project](#), an infrastructure program that will invest up to \$500 billion into AI data centers.

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The release of DeepSeek shows that if the U.S. wants dominance over the global AI market, it may need to pay attention to more than just chips and AI hardware.

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# 20 national security experts urge Trump administration to restrict Nvidia H20 sales to China

Rebecca Szkutak — 8:29 AM PDT · July 28, 2025

Not everyone is happy that the Trump administration [gave Nvidia the green light](#) to start selling its H20 advanced AI chips in China again.

A group of 20 national security experts and former government officials [wrote a letter to the U.S.](#)

[Department of Commerce secretary](#) Howard Lutnick on Monday urging the Trump administration to reverse its recent decision to let Nvidia resume selling its H20 AI chips in China.

The letter called the Trump administration's recent decision a "strategic misstep" that will have detrimental effects on the U.S.'s AI "edge" for both military and civilian use cases.

The letter specifically called out H20's AI inference, the process of using a trained AI model to make decisions on unseen data.

"The H20 is a potent accelerator of China's frontier AI capabilities, not an outdated AI chip," the letter stated. "Designed specifically to work around export control thresholds, the H20 is optimized for inference, the process responsible for the dramatic

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capabilities gains made by the latest generation of frontier AI reasoning models. For inference tasks, the H20 outperforms even the H100, an AI chip this administration has restricted access to due to its advanced capabilities.”

The letter also claimed that selling the H20 chips in China will worsen the existing AI chip bottleneck in the U.S.; that these chips could be used to support China’s military; and that this decision will weaken overall chip export controls.

“The decision to ban H20 exports earlier this year was the right one,” the letter said. “We ask you to stand by that principle and continue blocking the sale of advanced AI chips to China as America works to maintain its technological edge. This is not a question of trade. It is a question of national security.



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The letter’s signatories include Matt Pottinger, the former deputy national security adviser during Trump’s first term; Stewart Baker, the former

assistant secretary of Homeland Security under George W. Bush; and David Feith, a former member of the National Security Council, among others.

This letter comes two weeks after the DOC gave Nvidia the green light to start selling its AI chips in China again in relation to [ongoing trade discussions with China regarding rare earth elements](#). At the time, Lutnick tried to downplay the decision and said Nvidia’s H20 was the company’s “fourth best” AI chip.

Last week, the Trump administration unveiled its AI Action Plan, which highlighted the need for U.S. AI chip export restrictions but was [light on the details](#) of what those export controls would look like.

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